APL Inclusion – Alternative Investments

Coller Capital – Private Equity Secondaries Fund Class D
APIR: ETL7857AU

Summary
Coller Capital is a global leader in private equity secondaries, specialising in acquiring stakes in mature private equity funds and assets. Established in 1990 by Jeremy Coller and headquartered in London, the firm manages over $36 billion USD in assets (as of December 2024) and operates across nine global offices, including locations in New York, Hong Kong, and Melbourne.

Collar Capital Private Equity Secondaries Fund – Class D aims to achieve capital appreciation of 5% p.a. (net of fees) over 5 years and 9% p.a. (net of fees) of income distributions paid semi-annually. This is an open-ended fund (into Luxembourg-domiciled master fund) allowing ongoing subscriptions and redemptions (subject to liquidity constraints like the 5% NAV cap per quarter). This fund focuses on LP-led and GP-led transactions and was launched in October 2024 in Australia. Atchison classify this as a semi-liquid income alternative with differentiated specialist exposure to private equity secondaries.

APL Fit
Coller Capital's Private Equity Secondaries Fund – Class D offers a compelling case for inclusion in Atchison's Approved Product List (APL), providing Australian investors with access to the private equity secondaries market through an innovative open-ended structure. Unlike traditional private equity funds, which are illiquid and often inaccessible for many investors, this fund allows for monthly subscriptions and redemptions (capped at 5% of NAV per quarter), bridging the gap between fully illiquid investments and liquid alternatives. Its focus on LP- and GP-led secondary transactions enables the acquisition of mature portfolios at attractive discounts, significantly reducing blind pool risk and offering a shorter time horizon to realisation. With a target return of 14% p.a. net of fees (5% capital appreciation, 9% income distributions paid semi-annually), the fund aligns with Advisers seeking greater income distributions.

Fund Overview
- **Manager:** Coller Capital
- **Fund Inception Date:** 9th October 2024
- **Assets Under Management:** $35B globally (31/1/2025), ETL7857AU AUM A$25M (31/1/2025).
- **Investment Strategy:** Focusing on acquiring stakes in mature private equity funds and assets through LP-led and GP-led transactions. This means they acquire existing investor positions in private equity funds or directly held company investments, rather than investing directly in companies like a traditional venture capital or private equity fund. Coller focus on secondary transactions seeking attractive risk adjusted returns, diversification, whilst adhering to greater liquidity than that of primary private equity.
- **Benchmark:** MSCI World Index
  Benchmark Coller have used for C-SPEF (US private equities secondary fund).

Business
Coller Capital, a global leader in private equity secondaries since 1990, acquires investor positions in private equity funds and direct investments. The firm provides liquidity solutions, leveraging deep industry relationships and market expertise to source and execute deals. Operating across London (headquarters), New York, Hong Kong, Singapore, Luxembourg, and Melbourne, balancing risk and return, and maximising long-term value for investors.

Team
Coller Capital, a global leader in private equity secondaries with **~300 employees**, and is expanding in **Australia**, led by **David Hallifax**. Its Sydney office serves high-net-worth and institutional investors. **Jeremy Coller** (Founder & CIO) leads a senior team, including **Francois Aguerre**, **Steven Stolk**, **Jake Elmhirst**, and **Peter Kim**, drive investment and regional growth. The firm specialises in fund secondaries, direct secondaries, and structured transactions, leveraging deep expertise in private equity and investment banking.

Process
Coller Capital follows a disciplined secondary investment process, focusing 80% on LP-led and 20% on GP-led transactions, with no more than 20% of NAV in a single deal. The process begins with sourcing opportunities through its global network of fund managers, limited partners, and intermediaries. The team conducts detailed due diligence, evaluating portfolio companies, fund manager track records, and transaction terms. They assess fair value, structure deals strategically, and negotiate based on seller motivations. For GP-led deals, Coller ensures alignment with fund managers and investment longevity. Post-

investment, they actively manage holdings, working with GPs or directly with portfolio companies to maximise long-term value and returns.

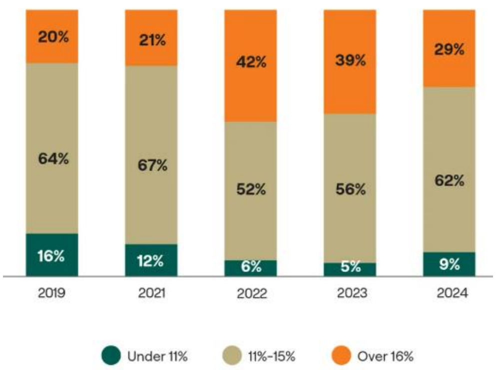
Fees and operational considerations

- **Management Fee:** 1.15% p.a. (includes GST
- **Performance Fee:** 12.5% subject to a preferred return of 7% p.a
- **Structure:** Open Ended – Income, paid semi-annually. Australian Unit Trust Structure
- **Liquidity:** Monthly liquidity subject to a 5% quarterly redemption cap
- **Constraints:** PE investments min 80% of NAV, liquid assets max 20% of NAV.
- **Target Allocation:** 80% LP-Led, 20% GP-led. Max 20% NAV in any one investment.
  LP-Led: Coller buying existing stakes from investors who want to exit PE funds early. These PE funds are bought by Coller below Net Asset Value (NAV) and sold at market price/premium later.
  GP-Led: Coller help fund managers extend the life of investments or restructure funds to help GP's avoid forced sale. Achieved through Coller charging fees, securing equity at favourable terms, and benefiting from long-term growth.
- **Leverage:** Maximum 33.33% of total assets
- **Capacity:** No stated capacity for this product or Master Fund. The manager does not believe there is a capacity limit.
- **Minimum Investment:** $25,000.00
- **Investment Timeframe:** 7 years
- **Responsible Entity: Equity Trustees Limited** (ABN 46 004 031 298, AFSL 240975) is a subsidiary of **EQT Holdings Limited** (ASX: EQT) (ABN 22 607 797 615).

Performance

ETL7857AU Inception October 2024 - therefore no material performance data for this fund.
The performance below is based on **C-SPEF**, USD-denominated equivalent of ETL3440AU and ETL7857AU.

	C-SPEF (US-Based)	ETL3440AU & ETL7857AU (Aus-Based)	Impact on Performance Comparison
Fund Structure	Closed-End, Tender Offer Fund	Open-Ended, Feeder Funds	Different liquidity constraints may impact capital allocation flexibility.
Liquidity & Redemptions	Quarterly tender offers (5% NAV limit per quarter)	Monthly redemptions (5% NAV limit per quarter)	Better liquidity terms for Australian funds.
Currency Exposure	USD-denominated	Fully AUD-hedged	FX hedging costs
Investment Universe	North America & Europe	Same but AUD-hedged feeder fund	Hedging policies & FX movements
Tax Treatment	US-domiciled	Australian-domiciled	Different tax drag may slightly alter net returns for Australian investors.
Fee Structure	1.65% management fee (from 2025), no performance fee	1.15% management fee (waived until 2025), 12.5% performance fee above 7% hurdle	Fees impact final investor net returns differently.



Average returns over 5 years:

- 0-11% returns, 9.6% of investors
- 11-15% returns, 60.2% of investors
- +16% returns, 30.2% of investors
- 90% of investors achieved returns in excess of +11%

	CIP VI 2012	CIP VII 2015	CIP VIII 2020	CIP IX 2024
Fund Size ($m)[1]	5,456	7,147	9,011	10,000[5]
Status	In realisation	In realisation	In realisation	Investing
Net cash on cash[2][3]	165%	111%	22%	n.m
Net IRR[4]	15%	14%	24%	n.m
Net multiple[2][4]	1.8x	1.7x	1.6x	n.m

Conclusion

Coller Capital – Private Equity Secondaries Fund Class D (ETL7857AU) is positioned to deliver attractive long-term income paid semi-annually, for wholesale investors seeking alternative assets with monthly liquidity options and robust risk-adjusted returns. Coller Capital's expertise in secondaries, reasonable fee structure, monthly redemptions, proven track record (C-SPEF), and differentiated offering make it a quality addition within our APL as a semi-liquid income alternative.